



Think.
Do.
Deliver.



How MasterCard brings unique value to the payments industry.

MasterCard Incorporated Annual Report **2003**





Think ... anticipate trends and formulate strategies.

Do ... develop innovative, flexible programs.

Deliver ... bring profitable solutions to customers worldwide — and do it all in a spirit of cooperation that is unique in the payments industry.

At MasterCard International, we believe the payments arena is far too dynamic for any other approach — that “one size fits all” and “take it or leave it” are not part of our lexicon — that insight, foresight, and customer focus make us a leading force in the payments space.

Does that make us different?

No question about it.

There's only
one MasterCard.

Selected Financial Data

All figures in U.S. dollars

Years Ended December 31 (in thousands except per-share data)	2003	2002	2001
Income Statement Data			
Revenue	\$ 2,230,851	\$ 1,891,811	\$ 1,611,334
Operating Income (loss)	(601,862)	141,997	221,702
Net Income (loss)*	(385,793)	116,429	142,061
Net Income (loss) per Share (basic and diluted)*	(3.86)	1.35	1.98
Balance Sheet Data			
Total Assets	\$ 2,900,905	\$ 2,260,875	\$ 1,486,305
Obligations Under U.S. Merchants' Lawsuit and Other Legal Settlements	672,466	—	—
Long-Term Debt	229,574	80,107	80,065
Stockholders'/Members' Equity	698,721	1,023,406	606,661

*Excluding \$486,019 after-tax impact of U.S. merchants' lawsuit settlement, our 2003 net income would be \$100,226 (\$385,793 net loss plus \$486,019 settlement) or \$1.00 per share.



From the office of the
President and Chief Executive Officer
Robert W. Selander



In 2003, we demonstrated both the strength and the promise of our company. In the face of numerous challenges, we made good progress against our objectives and increased revenues while closely managing our expenses. At the same time, we moved forward with initiatives that will strategically position MasterCard for future growth.

Despite economic weakness, the outbreak of SARS, and geopolitical instability, cardholders worldwide used MasterCard-branded cards for some 15 billion transactions in 2003. This generated a purchase volume of \$922 billion, an increase of 10 percent on a local currency basis over 2002, and a gross dollar volume (GDV) of \$1.27 trillion, an increase of 5.9 percent on a local currency basis over 2002. Meanwhile, our customers have issued more than 632 million MasterCard-branded cards, 7 percent higher than a year ago. In addition, Maestro®, our online debit program, grew to 520 million cards, a 13.8 percent increase over 2002. Major debit brand conversions—including Redeshop® in Brazil and Switch® in the United Kingdom—have contributed to this increase and reflect a repositioning of MasterCard debit products to serve both cross-border and domestic market needs.

We experienced growth in all but one of our regions around the world, with GDV rising 6.3 percent in North America, 13.5 percent in Europe, 31.2 percent in Latin America, and 17.5 percent in our South Asia, Middle East and Africa Region. Asia/Pacific was the only region in which GDV declined (by 9 percent), due primarily to the credit delinquency problem in Korea and the effect of SARS across the region.

In the United States, which accounts for about half of our global GDV, transactions rose 7.6 percent last year, generating \$637 billion in GDV. The number of MasterCard-branded cards, meanwhile, increased by 3.2 percent to 326 million.

This performance helped us deal effectively with the hurdles before us, among them a class-action lawsuit brought against us by merchants in the United States. While we believe this lawsuit was without merit, we also believe that reaching an out-of-court settlement was the best way to avoid the potential of significantly higher damages, given the inherent uncertainty of a jury trial. As a result, we agreed to a \$1 billion settlement, which will be paid out over 10 years from U.S. revenues, and secured a general release of all claims in the litigation. After considering the tax benefit we will receive from this settlement and the time value of money, we took a charge to our equity of \$486 million from the settlement and other merchant suits. Given our strong balance sheet, we chose to absorb this charge without assessing any of our members. Even as we work to replenish our capital, MasterCard remains in a solid financial position.

Moving Ahead

Challenges aside, there was much to celebrate in 2003. Our revenues fared well, and excluding the impact of the settlement, our financials finished ahead of plan. We also continued to benefit from our 2002 integration with Europay, which created a unified, truly global organization — one able to apply economies of scale and a wealth of intellectual capital to the task of delivering greater and greater value to our customers.

We believe that revenue opportunities will continue to expand with a brand that travels everywhere and is accepted around the world. Our award-winning *Priceless*® campaign, whose concept strikes a common emotional chord in languages and cultures throughout the world, is a proven success. Clearly, this kind of brand power drives revenue for our customers. So, too, does a dynamic array of local and global alliances and sponsorships, which range from Major League Baseball® to the FIFA World Cup®.

What truly makes MasterCard different is the value we place in our customer relationships. Our goal is to help our customers succeed — and to link the fortunes of our own company to their success.

While our cohesive approach to global branding clearly differentiates MasterCard, it is hardly the only attribute that sets our company apart. What truly makes MasterCard different is the value we place in our customer relationships. Our goal is to help our customers succeed — and to link the fortunes of our own company to their success.

Customer Focus

In this light, a major accomplishment was the expansion of MasterCard Advisors, the first consulting, outsourcing, and information services group devoted entirely to the payments space. Throughout the year, Advisors helped customers maximize numerous card programs with expert advice and tailored solutions. Advisors epitomizes, more than anything, the strength of our relationship-based perspective, in which every customer has unique needs and objectives and deserves a unique set of solutions.

Advisors — along with our Global Development Group and its Centers of Excellence (Debit, Chip, Mobile/Wireless, and e-Commerce) — is aimed at anticipating the needs of our customers and enabling us to deliver more value. Thanks to resources like these, our customers are realizing new opportunities to increase cardholder satisfaction and to tap into new revenue streams. The year, for example, saw an increase in MasterCard smart cards (to 150 million), more than half of which have value-added applications such as loyalty rewards, digital ID, e-ticketing, e-coupons, or personal data storage.

MasterCard *PayPass*™, our contactless payment solution, also advanced with highly successful U.S. pilot programs in Orlando, Florida, and Dallas, Texas. Issuing banks have been favorably surprised to find that *PayPass* offers two important revenue-enhancing benefits: a means of capturing transactions that are typically cash based and, because cardholders like the convenience, a way to activate dormant cards and materially increase activity on card accounts. Retailers benefit from faster throughput in small-purchase, high-volume locations and appreciate the customer loyalty associated with this cutting-edge point-of-sale technology.

In the realm of corporate payments, a prime example of innovation is MasterCard e-P3™, a next-generation procurement platform for enterprise users. e-P3 is the first complete solution to integrate and automate purchasing, presentment, and payment, and provide enhanced information. As such, it creates a powerful new and flexible way for our customers to capture enterprise business.

This kind of value-added innovation would clearly be impossible without an ability to listen, anticipate, and respond to the needs and opportunities of our customers. Of course, innovation would hardly matter if we also didn't master the basics — that is, provide the fastest, most reliable, and most secure processing available. Over the past five years, through our Systems Enhancement Strategy, we've created an unparalleled transaction-processing platform. This upgrade allows us to deliver the flexibility, speed, security, and local customization our customers demand.

The Right Course

Today, our customers can depend on superior service and support wherever they are, whether they operate regionally, across a continent, or around the world. They can depend, as well, on a diverse workforce that is among the most expert and experienced in the payments industry. Our workforce consists of a team of professionals highly trained and motivated by a work environment cited as among the best. *Computerworld*, *Working Mother*, and *Hispanic* magazines all recognized MasterCard in 2003 as a top workplace. Similarly, *CartaCapital* magazine named MasterCard one of the most admired companies in Brazil.

In our business, a major truth is that success doesn't only breed success — it also attracts attention. As we have done in the past, we must continue to anticipate and handle our challenges — including those posed by regulators and the courts — forthrightly, while keeping our focus on the tremendous potential in the payments space.

As the world moves toward new forms of payment and as consolidation drives competition in our sector, it will become more important than ever to be the best global business partner by anticipating trends, working with customers, meeting their needs, and leveraging profitable opportunities. Thinking, doing, and delivering — I believe our performance in 2003 validates this approach — and in the years ahead, its wisdom will become ever more apparent.



Robert W. Selander

President and Chief Executive Officer

March 2004



Customer Focus

No two customers are alike. No single strategy works all the time. In a world of diverse markets and cultures, needs and opportunities are unique. At MasterCard, we believe the way to succeed is to discover and define what our customers need — and to tie our success to our ability to help them reach their objectives and profitably grow.

Expertise: In 2003, MasterCard Advisors further demonstrated the value of a first-rate services organization focused solely on the payments business. Advisors has helped customers worldwide revitalize portfolios, adopt new technologies, improve marketing, and maximize the profitability of numerous card programs.

Information Access: MasterCard *OnLine*®, MasterCard's extranet resource for customers, grew dramatically in 2003, delivering crucial information, useful tools, support documentation, fraud-prevention solutions, technical publications, and e-learning opportunities to financial institutions in 150 countries.



The closer we get
to our customers,
the more valuable
we become.

Prepaid Power: Launched in the United States and South Africa for use with prepaid mobile phone accounts, MasterCard rePower™ offers our customers new business opportunities in the rapidly expanding prepaid arena. rePower provides a new way for cardholders to reload prepaid or stored-value accounts using their MasterCard debit and/or credit cards.

A Complete Debit Process: MasterCard announced an alliance with eFunds Corporation to create MasterCard Complete Debit Processing for financial institutions. This solution adds flexible, end-to-end debit transaction-processing capabilities to the services and products already available under the MasterCard debit umbrella.

Secure Momentum: MasterCard SecureCode™ continued to gain global momentum in 2003 by offering a more secure way to shop on the Internet. Participating Internet retailers benefit from guaranteed transactions when consumers use their MasterCard credit and debit cards, as well as their Maestro® cards, to make online purchases.



Solutions Provider

At MasterCard, we offer a wide range of innovative payments solutions aimed at delivering better and simpler ways to pay. Drawing on our industry expertise, we help issuers, acquirers, processors, and merchants redefine their value propositions by offering cardholders and businesses unprecedented speed, convenience, and flexibility.

Thinking Smart: In 2003, the number of MasterCard, Maestro, and Mondex®-branded smart cards issued globally topped 150 million. OneSMART® MasterCard, our turnkey smart card delivery solution, provides issuers with greater technology choices, migration and implementation support services, and the flexibility to create differentiated programs.

Tap and Go: The MasterCard PayPass™ contactless payment solution was a hit with consumers and merchants alike in a cardholder trial in Orlando, Florida, as well as one in Dallas, Texas, where PayPass was incorporated into mobile phones. While consumers breezed through checkouts without swiping, fumbling for cash, or waiting for change, merchants appreciated faster transactions and increased throughput of customers.



Shape of Things to Come: The year marked the debut of MasterCard SideCard™ in Latin America and Asia. A sleek card in a tailored case that attaches to a key ring or lanyard, the MasterCard SideCard flips out for a quick swipe at the point of sale. Also gaining ground in these regions is the multiapplication mc² smart card, a unique, eye-catching translucent card designed specifically with young urban professionals in mind.

Getting Focused: The MasterCard Middle Market Solution is designed to provide issuers with a turnkey approach to supporting midsize companies without expending significant time or expense. The MasterCard Corporate Multi Card® is at the program's core, providing the only proven "one-card" solution with a best-in-class reporting application and a robust rewards program.

B2B Ease: The new MasterCard e-P3™ electronic invoicing, presentment, and payments platform helps financial institutions and their enterprise customers simplify business-to-business purchasing, presentment, and payment. Completely paperless, it makes the entire financial supply chain more efficient, lowering costs, speeding approvals, improving cash management, and increasing control over spending and procurement.



Brand Power

By building one of the world's most recognized brands—and continuing to open new acceptance channels—we make it easier and more rewarding for our customers to do business. The strength MasterCard brings to any payment program has become abundantly clear, whether a customer is a local issuer with a growing card base and emerging opportunities, or a multinational bank intent on expanding business in new areas.

Integrated Approach:

MasterCard is dedicated to building the MasterCard brand to drive card preference, usage, and enhanced profitability. We accomplish this through the delivery of fully integrated, customer-focused marketing programs and value-added services.

Global Appeal: MasterCard's *Priceless®* campaign continues to drive card usage and gross dollar volume growth around the world. Having appeared in 96 countries and 47 languages, it combines a powerful, differentiated global strategy with the flexibility to tailor messaging to support local objectives and appeal to cultural sensibilities.



Teaming Up: Sponsorships and alliances continue to boost brand awareness and customer value. Key relationships include Universal Entertainment, Major League Baseball, the PGA Tour, LPGA Tour, the Champions Golf Tour, the National Hockey League, and the world's most important soccer events, which will include the 2004 UEFA® European Football Championship and the 2006 FIFA World Cup®.

Leveraging Brands: Following its 2002 acquisition of Redeshop, Brazil's largest debit brand, MasterCard launched a new debit card brand — MasterCard Maestro™ — in Brazil in 2003. This conversion of the Maestro and Redeshop brands into one brand offers a unified way for financial institutions to grow their debit business with MasterCard.

Enhancing Value: MasterCard continues to be a leader in co-branded programs around the world. In 2003, MasterCard worked with British retailer Marks & Spencer to create a card that delivers increased value to the store's cardholders. Some 2.6 million customers chose to receive co-branded cards with expanded benefits that include global acceptance and loyalty rewards.



Leading Technology

There's no better way to prove our value than to deliver it every day — by processing millions of transactions, flawlessly and securely, and by linking 210 countries, approximately 25,000 financial institutions, and millions of merchants worldwide. Over the past five years, we've invested more than \$160 million in our core technology. The result is an integrated global platform, at the heart of which is Banknet®, the first virtual private network of its kind in the payments industry. This network gives us the speed, capacity, and flexibility to accommodate current and emerging card programs — and supports the customized processing that allows our customers to capture opportunities, both local and worldwide.

Reliable: MasterCard's new co-processing data center ensures technical recovery in the event of an emergency. By balancing processing between this and MasterCard's primary data center, we can quickly redirect processing should either system become disrupted.

Flawless: In 2003, MasterCard's network delivered a nearly 100 percent availability rate. Credit and debit authorizations were up 10.3 percent to 9.6 billion, while Banknet network response time for authorizations improved 15 percent over 2002.

A person is seen from the back, looking at a large projection screen in a control room. The screen displays a presentation slide with a blue background and white text. To the right of the text is a map of the United States. Below the main screen, there are several computer monitors on a desk, one of which shows a website with the 'Switch' logo.

The fastest path to
customer satisfaction
is the MasterCard
network.

Flexible: MasterCard's Global Clearing Management System enables custom-tailored processing and the ability to share data with partners to facilitate affinity programs and leverage promotions. It also allows for billing in multiple currencies, including local currencies for domestic purchases and U.S. dollars, euros, or other world currencies for cross-border transactions.

Adaptable: In 2003, we successfully migrated Switch® processing in the United Kingdom to MasterCard's processing platform. We anticipate doubling our clearing transaction volume in Europe in 2004 as all interbank Switch volume in the United Kingdom passes through our network.

Efficient: MasterCard's Remote Payment and Presentment Service delivers the industry's leading electronic bill payment and presentment network to approximately 95 percent of all industry service providers in the United States.



Leadership is not just about achieving results; it's about building intellectual standing — about promoting the overall growth, well-being, and understanding of an entire industry. As thought leaders, we take this responsibility seriously — whether we're educating consumers, leading discourse on industry standards, helping customers leverage new opportunities, or exploring new payment technologies.

Cardholder View: In November, MasterCard Advisors released *Voice of the Customer*, a groundbreaking quantitative survey of cardholders in Latin America and the Caribbean profiling attitudes, interests, and intentions on a broad array of topics and providing a wealth of insight on emerging opportunities and challenges.



Credit Basics: MasterCard has become a leading force in Your Credit Card Companies, a U.S. coalition aimed at strengthening consumer understanding of the credit card industry and proper credit card use. Another consumer education initiative, the highly interactive Credit Talk website, offers valuable advice for new and experienced credit consumers on subjects ranging from credit reports to dealing effectively with a debt crisis.

Taking the Pulse: The year marked the 10th anniversary of the MasterIndex™ of Consumer Confidence. Pioneered by MasterCard's Asia/Pacific Region, the MasterIndex is the most comprehensive, longest running, and most closely watched survey of consumer sentiment in the region.

Drive to Innovate: Investment in innovation continues to be a core tenet of our business. MasterCard's Centers of Excellence — Debit, Chip, Mobile/Wireless, and e-Commerce — bring together some of the best talent and resources in the industry. Through these centers, we continually work to leverage leading-edge technology, develop innovative solutions, and explore new payment frontiers.

Corporate Officers

MasterCard Global Board of Directors*

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Falcones Jaquotot**

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Chairman
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Chairman and Chief Executive Officer
HSBC North America Holdings Inc.

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Chairman
Orient Corporation

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Deputy General Manager
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Donald L. Boudreau**

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Group Executive Director
The Royal Bank of Scotland Group

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President and Chief Executive Officer
Personal and Commercial Client Group
Bank of Montreal

Michael T. Pratt

Group Executive, Business
and Consumer Banking
Westpac Banking Corporation;
Chief Executive Officer
Bank of Melbourne

Robert W. Selander

President and Chief Executive Officer
MasterCard International

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Executive Vice Chairman and
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MBNA America Bank, N.A.

Robert B. Willumstad

President and Chief Operating Officer
Citigroup

Mark H. Wright

President and Chief Executive Officer
USAA Federal Savings Bank

*as of December 31, 2003 ** non-voting advisory director

MasterCard International Executive Management Group

Robert W. Selander

President and
Chief Executive Officer

Noah J. Hanft

General Counsel and Secretary

Alan J. Heuer

Customer Group

Peter Hoch

Europe Region

Jerry McElhatton

Global Technology and Operations

Chris A. McWilton

Chief Financial Officer

Michael W. Michl

Global Central Resources

Christopher D. Thom

Global Development

At a Glance

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Global Technology & Operations Headquarters

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Latin America & Caribbean Regional Headquarters

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Telephone: 1.305.539.2300

North America Regional Headquarters

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Telephone: 1.914.249.2000

South Asia, Middle East & Africa Regional Headquarters

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Sheikh Zayed Road
Dubai, United Arab Emirates
Telephone: 9714.391.4200

Online Resources

www.mastercard.com

Our consumer-focused site serves as a key relationship management contact point for consumers worldwide, offering payment services and programs to prospective cardholders, as well as usage incentives, educational information, and other services to existing cardholders.

www.mastercardinternational.com

Our global website for corporate information includes our latest news announcements, useful media tools, recent performance statistics, corporate citizenship programs, and job opportunities.

www.mastercardbusiness.com

Our Web-based resource for business and government includes information about the benefits and features of MasterCard® Corporate Payment Solutions cards and programs. The website also offers tools for managing expenses and streamlining processes, as well as online tutorials and discounts on goods and services.

www.mastercardmerchant.com

Our website for merchants and acquirers provides information on accepting MasterCard cards and optimizing card acceptance through our industry-specific programs, new technologies, co-branding opportunities, and security and global programs.

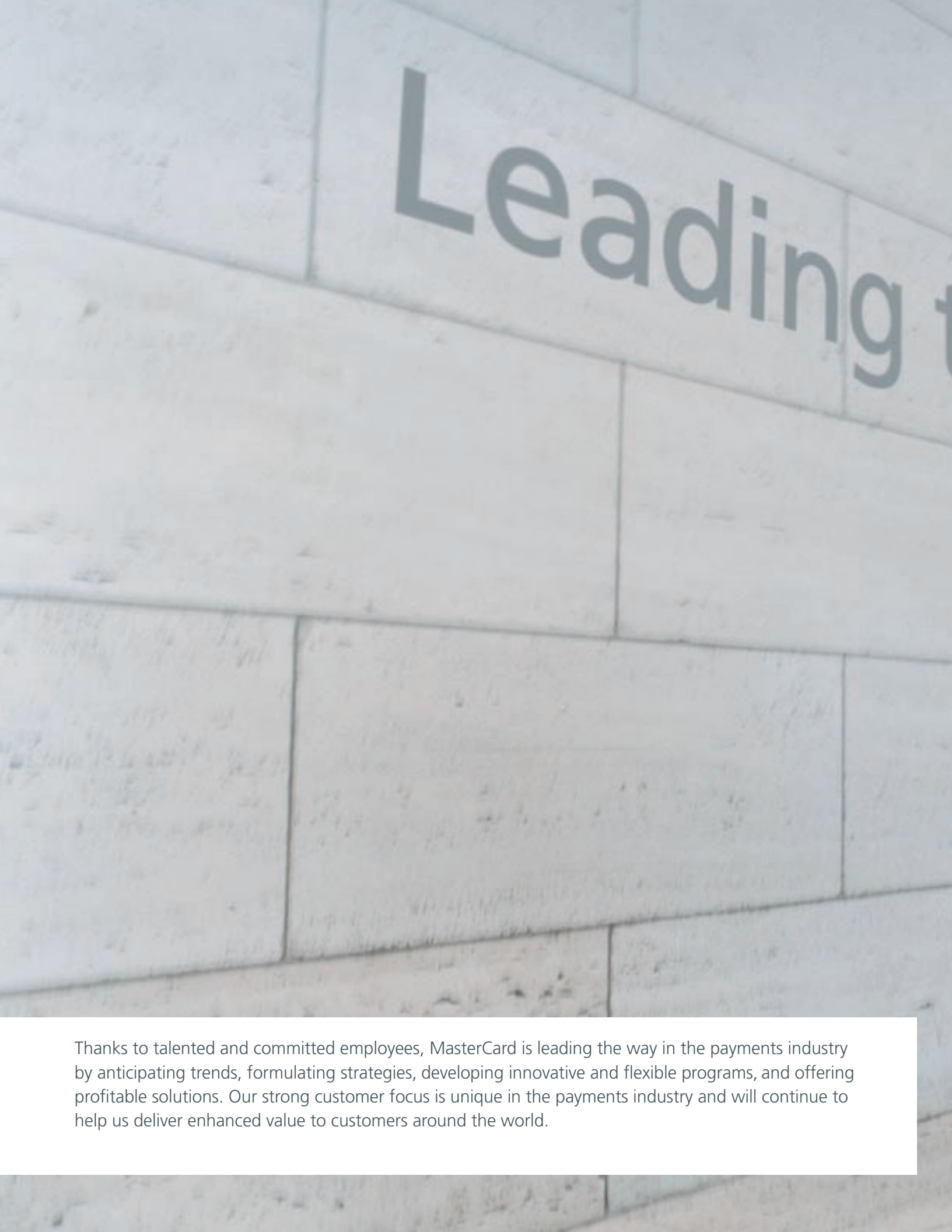
www.mastercardonline.com

Our online resource deploys programs, services, training, and documentation to users at our customer financial institutions in more than 150 countries.

www.creditalk.com

The Credit Talk website is our interactive financial education resource for consumers. Topics include budget management, the importance of establishing good credit, weathering a financial crisis, consumer rights, and best practices.

This annual report contains forward-looking information. Although MasterCard believes that its expectations are based on reasonable assumptions, it can give no assurance that its objectives will be achieved. Important factors that could cause actual results to differ materially from forward-looking information contained in this annual report include global political and economic conditions; MasterCard's ability to achieve its strategic objectives; the performance of MasterCard's member financial institutions and the nature of MasterCard's business relationships with these institutions; substantial and increasingly intense competition in the global payments industry; the success of MasterCard's global advertising, sponsorship, promotion, and merchant acceptance initiatives; the functionality and security of MasterCard's transaction-processing systems; MasterCard's ability to adapt to industry trends with technological and payment program innovations; the resolution of certain legal proceedings and regulatory actions; and changing market dynamics. MasterCard disclaims any obligation to publicly update or revise any forward-looking information.



Leading t

Thanks to talented and committed employees, MasterCard is leading the way in the payments industry by anticipating trends, formulating strategies, developing innovative and flexible programs, and offering profitable solutions. Our strong customer focus is unique in the payments industry and will continue to help us deliver enhanced value to customers around the world.

the way...





*MasterCard
International*

